

Warsaw, December 13, 2023

Decision

DOKE.561.18.2023

Based on Article 104 § 1 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, consolidated text), Article 7 paragraphs 1 and 2, Article 60, Article 101, Article 101a, and Article 103 of the Act of May 10, 2018, on the protection of personal data (Journal of Laws of 2019, item 1781) and Article 57 paragraph 1 letters a) and h), Article 83 paragraphs 1-2 and Article 83 paragraph 6 in connection with Article 58 paragraph 2 letters c) and i) of the Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016, on the protection of natural persons in relation to the processing of personal data and on the free movement of such data (Official Journal of the EU L 119 of 04.05.2016, p. 1; Official Journal of the EU L 127 of 23.05.2018, p. 2 and Official Journal of the EU L 74 of 04.03.2021, p. 35), hereinafter referred to as the "Regulation 2016/679", after conducting an ex officio administrative proceeding regarding the imposition of an administrative monetary penalty on M. Sp. z o.o. based in D. at ul. (...), the President of the Personal Data Protection Office, noting the non-compliance by M. Sp. z o.o. based in D. at ul. (...) with the order of the administrative decision of the President of the Personal Data Protection Office of December 15, 2022, reference number ZSPR.440.1621.2018, and the order of the administrative decision of the President of the Personal Data Protection Office of November 29, 2022, reference number ZSPR.440.1530.2019, imposes on M. Sp. z o.o. based in D. at ul. (...) an administrative monetary penalty in the amount of 23,580 PLN (in words: twenty-three thousand five hundred eighty zlotys).

JUSTIFICATION

Factual Background

The President of the Personal Data Protection Office, hereinafter referred to as the "President of UODO", by administrative decision of December 15, 2022, reference number ZSPR.440.1621.2018, acting under Article 58 paragraph 2 letter c) of the Regulation 2019/679, ordered M. Sp. z o.o. based in D. at ul. (...), hereinafter referred to as the "Company", to remove the personal data of Mr. T. B., residing in W. at ul. (...). This decision – addressed to the registered office address of the Company disclosed in the National Court Register, i.e. (...) D., ul. (...) – after two unsuccessful delivery attempts on December 20, 2022, and December 28, 2022, was returned to UODO with the annotation: "RETURNED not collected in time". This letter, in accordance with the provisions of Article 44 in connection with Article 45 of the Act of June 14, 1960, the Code of Administrative Procedure (Journal of Laws of 2023, item 775, consolidated text), hereinafter referred to as "k.p.a.", was deemed to have been duly delivered to the Company upon the expiry of January 4, 2023. The decision was not appealed by the parties to the administrative proceedings to the Provincial Administrative Court in Warsaw, and thus it became final on February 3, 2023.

In order to verify whether the obligation imposed by the aforementioned decision was fulfilled by the Company – by letters dated June 5, 2023 – the President of UODO summoned it to provide explanations and present evidence confirming the execution of the order of the decision and informed the Company that a finding of non-compliance with the order issued by the President of UODO may result in the imposition of an administrative monetary penalty of up to 20,000,000 EUR, in accordance with Article 83 paragraph 6 of Regulation 2016/679. These letters – one of which was sent to the registered address, and the other to the address of the Company's office established by the supervisory authority, i.e. (...) D., ul. (...) – after two unsuccessful delivery attempts on June 12, 2023, and June 20, 2023 (regarding the correspondence sent to the registered address) and June 9, 2023, and June 19, 2023 (regarding the correspondence sent to the office address), were returned to UODO with the annotation: "RETURNED not collected in time". Considering the provisions of Article 44 of the k.p.a. in connection with Article 45 of the k.p.a., these letters were deemed to have been duly delivered to the Company upon the expiry of June 26, 2023, and June 23, 2023, by means of substitute delivery. The Company did not take any actions to demonstrate compliance with the order of the decision.

By letter dated July 14, 2023, the President of UODO issued a warning to the Company, once again summoning it to execute the order of the decision and to document this fact within 7 days from the date

of delivery of the warning. This letter, which was twice notified on July 18, 2023, and July 26, 2023, was returned to UODO with the annotation: "RETURNED not collected in time". The failure to collect the correspondence by the Company resulted in the letter being deemed delivered by operation of law on August 1, 2023 – on the basis of substitute delivery in accordance with the wording of Article 44 of the k.p.a. in connection with Article 45 of the k.p.a. The Company again did not take any actions to comply with the request of the supervisory authority.

Furthermore, by administrative decision of November 29, 2022, reference number ZSPR.440.1530.2019, the President of UODO, acting under Article 58 paragraph 2 letter c) of Regulation 2019/679, ordered the Company to remove the personal data of Mr. M. N., residing in W. at ul. (...), including his phone number: (...). This decision – addressed to the registered office address of the Company – after two unsuccessful delivery attempts on December 2, 2022, and December 12, 2022, was returned to UODO with the annotation: "RETURNED not collected in time". In accordance with the provisions of Article 44 of the k.p.a. in connection with Article 45 of the k.p.a., the decision was deemed to have been duly delivered to the Company upon the expiry of December 16, 2022. Due to the lack of appeal against the aforementioned decision by the parties to the administrative proceedings to the Provincial Administrative Court in Warsaw, this decision became final on January 10, 2023.

the processor to mitigate the damage suffered by data subjects,

d) the degree of responsibility of the controller or processor, taking into account technical and organizational measures implemented by them,

e) any relevant previous infringements by the controller or processor,

f) the degree of cooperation with the supervisory authority, in order to remedy the infringement and mitigate the possible adverse effects of the infringement,

g) the categories of personal data affected by the infringement,

h) the manner in which the infringement became known to the supervisory authority, in particular whether the controller or processor notified the infringement and,

i) adherence to approved codes of conduct or approved certification mechanisms.

In light of the above, the President of the Office for Personal Data Protection has determined that the Company has failed to comply with the orders issued by the supervisory authority, which constitutes a violation of the provisions of Regulation 2016/679. Consequently, the President of the Office for Personal Data Protection has decided to impose an administrative fine on the Company in the amount of [amount to be specified], taking into account the circumstances outlined above.

This decision is subject to appeal in accordance with the provisions of the Code of Administrative Procedure. The Company has the right to appeal against this decision within 30 days from the date of its delivery. The appeal should be submitted to the President of the Office for Personal Data Protection, who will forward it to the competent administrative court.

The decision shall be delivered to the Company in accordance with the provisions of the Code of Administrative Procedure.

****Processor to minimize the damage****

suffered by the data subjects,

d) the degree of responsibility of the controller or processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32,

e) any relevant prior violations by the controller or processor,

f) the degree of cooperation with the supervisory authority to remedy the violation and mitigate its potential negative effects,

g) categories of personal data affected by the violation,

h) the manner in which the supervisory authority became aware of the violation, in particular, whether and to what extent the controller or processor reported the violation,

i) if measures referred to in Article 58(2) have previously been applied to the controller or processor in the same matter, compliance with those measures,

j) the application of approved codes of conduct under Article 40 or approved certification mechanisms under Article 42,

k) any other aggravating or mitigating factors relevant to the circumstances of the case, such as financial benefits gained directly or indirectly in connection with the violation or losses avoided. Furthermore, the supervisory authority – in accordance with Article 83(1) of Regulation 2016/679 – ensures that the administrative fines imposed are effective, proportionate, and dissuasive in each individual case (principles of penalty assessment).

In order to establish the basis for the assessment of the administrative fine, the entity subject to the proceedings regarding the imposition of the administrative fine is obliged, at the request of the President of the Personal Data Protection Office (UODO), to provide, within 30 days from the date of receipt of the request, the data necessary to determine this basis (Article 101a(1) of the Personal Data Protection Act).

In the event that this data is not provided by the entity subject to the penalty, the President of UODO establishes the basis for the assessment of the administrative fine in an estimated manner, taking into account the size of the entity, the specificity of its activities, or publicly available financial data concerning the entity (Article 101a(2) of the Personal Data Protection Act).

According to Article 103 of the Personal Data Protection Act, the proceedings regarding violations of personal data protection regulations are conducted by the President of UODO. Furthermore, Article 7(1) of the Personal Data Protection Act states that in matters not regulated by this Act, the provisions of the Code of Administrative Procedure (k.p.a.) apply to administrative proceedings before the President of UODO (including proceedings regarding the imposition of administrative fines referred to in Chapter 11 of the Personal Data Protection Act). According to Article 7(2) of the Personal Data Protection Act, these proceedings are single-instance proceedings.

****Legal Assessment****

Referring the above provisions to the established factual state in this case, it should first be emphasized that the burden of proof for the execution of the decision regarding the processing of personal data based on the provisions of Regulation 2016/679 rests on the data controller. This norm directly arises from Article 5(2) of Regulation 2016/679, which establishes the principle of accountability, according to which the controller – being responsible for compliance with the principles of personal data processing formulated in Article 5(1) of Regulation 2016/679 (including, among others, the principle of legality, according to which data processing must be carried out "lawfully") – is obliged to demonstrate compliance with these principles. The application of the principle of accountability in the proceedings conducted by the supervisory authority aimed at determining the execution of the decision means that the controller is obliged to prove before the President of UODO the fulfillment of the obligation indicated in the decision, which will be equivalent to restoring the processes of personal data processing to a state compliant with the law. Such an interpretation of the principle of accountability is confirmed in the doctrine of data protection law, according to which: "the statement that the controller should be able to demonstrate compliance with the principles can be interpreted as imposing on the controller the burden of proof regarding compliance with the data processing principles. In the event of a dispute with the data subject or with the supervisory authority, the controller should be able to present evidence that they comply with the principles. Such evidence may primarily consist of documents related to the processing and protection of data" (see: P. Fajgielski [in:] Commentary on Regulation No. 2016/679 on the protection of natural persons in relation to the processing of personal data and on the free movement of such data and repealing Directive 95/46/EC (General Data Protection Regulation) [in:] General Data Protection Regulation. Personal Data Protection Act. Commentary, Warsaw 2018).

Thus, in this case, it is the Company – as the data controller and at the same time the addressee of the decision of the President of UODO dated December 15, 2022, ref. ZSPR.440.1621.2018 and the decision of the President of UODO...

November 29, 2022, ref. ZSPR.440.1530.2019 – was obliged to provide the President of the UODO with all evidence and information necessary for the supervisory authority to determine that it had complied with the requests of Mr. T. B. and Mr. M. N. regarding the removal of their personal data from the Company's databases, which would lead to the conclusion that the processing of personal data by the Company is currently in accordance with the provisions of Regulation 2016/679. Meanwhile, the Company did not take any actions to prove the execution of the orders resulting from the

aforementioned administrative decisions – despite written calls directed by the supervisory authority preceding the initiation of these proceedings concerning the imposition of an administrative monetary penalty. It should be noted that the Company did not raise any doubts before the President of the UODO regarding the manner of fulfilling the obligations imposed on it, nor did it signal any potential difficulties (technical or organizational) related to their implementation. The circumstances cited lead to the conclusion that the Company did not execute (or, in accordance with the terminology used by the EU legislator in Article 83(6) of Regulation 2016/679 – "did not comply with") the orders of both aforementioned administrative decisions of the President of the UODO. In light of the above findings, the President of the UODO determined that in this case, there were grounds justifying the imposition of an administrative monetary penalty on the Company, in accordance with the wording of Article 83(6) of Regulation 2016/679.

****Grounds and Principles for Imposing Administrative Monetary Penalties****

Pursuant to Article 83(2) of Regulation 2016/679, administrative monetary penalties are imposed depending on the circumstances of each individual case. Attention is drawn to a number of circumstances listed in points a) to k) of the aforementioned provision. In deciding to impose an administrative monetary penalty on the Company in this case and determining its amount, the President of the UODO took into account the following circumstances, indicated below, which weigh negatively on the assessment of the established violation.

The nature, gravity, and duration of the violation, the number of affected individuals (Article 83(2)(a) of Regulation 2016/679). The violation committed by the Company in this case, consisting of non-compliance with the orders of the administrative decisions of the President of the UODO, which is the competent authority for personal data protection and the supervisory authority within the meaning of the provisions of Regulation 2016/679, should be considered as significantly undermining the personal data protection system. On the one hand, the Company's omissions indicate its overall dismissive attitude towards the obligations established by the provisions of Regulation 2016/679 concerning data controllers. On the other hand, the Company's failure to delete the personal data of two identified natural persons, named in the issued orders – resulting in further unlawful processing of their personal data – violates the rights of these individuals. Despite the objections expressed by the individuals concerned regarding the processing of their personal data by the Company, as well as the clear directive from the supervisory authority regarding the obligation to cease such processing, the Company continues to retain the disputed data in its resources. This allows the Company to further use this data for purposes related to its business activities (e.g., for sending unsolicited spam via SMS or email to individuals or making unwanted marketing phone calls). The continued processing of personal data by the Company also poses a risk of sharing this data with other entities with which the Company cooperates. This entails a risk for the data subjects directly affected by the violation established in these proceedings, namely the loss of control over their personal data. At the same time, in the event of further use of this data by the Company, the individuals concerned will be forced to endure unwanted attempts at contact from the Company, which undoubtedly involves the inconvenience of such actions. For this reason, in the assessment of the President of the UODO, the violation committed by the Company should be attributed significant weight and reprehensible character. This weight is further increased by the fact that the state of violation has persisted continuously since January 4, 2023 (in the context of the order from the decision dated December 15, 2022, ref. ZSPR.440.1621.2018) and since December 16, 2022 (in the context of the order from the decision dated November 29, 2022, ref. ZSPR.440.1530.2019), i.e., from the date of recognition of the aforementioned final decisions of the President of the UODO as delivered to the Company.

****Unintentional Nature of the Violation (Article 83(2)(b) of Regulation 2016/679)**.** Given that none of the letters sent by the President of the UODO to the Company were actually received by it (which applies to both the administrative decisions of the President of the UODO, requests for explanations and evidence of their execution, as well as written reminders sent to the Company), there are no grounds to consider that the actions of the Company subject to sanction in this case were intentional. However, due to the finding that the violation committed by the Company is a consequence of gross

and prolonged negligence by the Company of its fundamental obligation – which is to ensure such an organization of the receipt of correspondence that the course of official correspondence proceeds continuously and without interruption – this circumstance should be assessed negatively and regarded as aggravating in the context of determining both the justification for imposing and the amount of the imposed monetary penalty. At the same time, the supervisory authority indicates that the obligation to comply with the principles of personal data protection (including the aforementioned principle of accountability) rests on the Company by virtue of the law itself. Therefore, the circumstance of the lack of receipt by...

provided any evidence of applying approved codes of conduct or certification mechanisms as outlined in Article 83(2)(j) of Regulation 2016/679. Therefore, this circumstance does not contribute to mitigating the assessment of the established violation.

****Conclusion****

In light of the above considerations, the President of the UODO finds that the circumstances surrounding the case do not warrant a reduction in the amount of the administrative fine imposed on the Company. The Company's lack of cooperation, disregard for the obligations imposed by the President of the UODO, and the nature of the violation all support the decision to impose the maximum administrative fine permissible under the law.

uses the instruments referred to in Article 40 and Article 42 of Regulation 2016/679. However, their adoption, implementation, and use are not mandatory for controllers, as stipulated by the provisions of Regulation 2016/679, which means that the fact of their non-application cannot be considered detrimental to the Company in this case. On the other hand, the circumstance of adopting and using such instruments as means guaranteeing a higher than standard level of protection of processed personal data could be taken into account in favor of the Company.

Benefits gained directly or indirectly in connection with the violation or avoided losses (Article 83(2)(k) of Regulation 2016/679). The President of the UODO did not find that the Company, in connection with non-compliance with the orders issued by the supervisory authority, gained any financial benefits or avoided such losses. Therefore, there are no grounds for treating this circumstance as burdensome for the Company. The determination of the existence of measurable financial benefits resulting from the violation of the provisions of Regulation 2016/679 should be assessed very negatively. On the other hand, the lack of such benefits for the Company, as a natural state resulting from the assumption that an entrepreneur conducting business activities gains financial benefits (profits) on the condition of complying with applicable legal requirements, is a circumstance that, by its very nature, cannot be mitigating for it. This is confirmed by the very wording of Article 83(2)(k) of Regulation 2016/679, which requires the supervisory authority to pay due attention to the benefits "gained" – those that occurred on the part of the entity committing the violation.

Other aggravating or mitigating factors (Article 83(2)(k) of Regulation 2016/679). The President of the UODO, comprehensively considering the case, did not record any circumstances other than those described above that could influence the assessment of the violation and the amount of the imposed administrative monetary penalty.

The remaining circumstances listed in Article 83(2) of Regulation 2016/679 could not be taken into account by the President of the UODO, as they do not apply in this case. These are:

- actions taken by the controller to minimize the damage suffered by the data subjects (Article 83(2)(c) of Regulation 2016/679) – due to the fact that no damage materialized on the part of individuals (only the risk of its occurrence), there is no obligation or possibility for the Company to take any actions aimed at minimizing them;
- the degree of responsibility of the controller, taking into account the technical and organizational measures implemented by them under Articles 25 and 32 of Regulation 2016/679 (Article 83(2)(d) of Regulation 2016/679) – due to the fact that the violation in its very essence is not related to the technical and organizational measures implemented by the Company to ensure the protection of personal data and the security of their processing.

According to the wording of Article 83(1) of Regulation 2016/679, the administrative monetary penalty imposed by the supervisory authority should be effective, proportionate, and deterrent in each individual case. In defining the aforementioned principles of imposing administrative monetary penalties, reference should be made to the views of the doctrine of law on data protection. "A sanction is effective if it allows achieving the goal for which it was introduced. A sanction is proportional if it does not exceed the threshold of inconvenience determined by taking into account the circumstances of the specific case. A sanction is deterrent if it fulfills the considerations of individual and general prevention, in other words, it constitutes a clear signal of disapproval of the violation for society, as well as for the addressee of the sanction" (P. Litwiński (ed.), Regulation of the European Parliament and of the Council (EU) 2016/679 of April 27, 2016 [...]; Commentary on Article 83 in: P. Litwiński (ed.) General Data Protection Regulation. Data Protection Act. Selected Sectoral Provisions. Commentary).

The principles of imposing administrative monetary penalties as defined require reference to the size, financial capabilities, and market position of the penalized entity, and as a measure of these attributes of the penalized entity, in the case of a business, Regulation 2016/679 allows for the adoption of the total annual global turnover from the previous financial year (Article 83(5) of Regulation 2016/679).

Supplementing this principle, Article 101a(2) of the Personal Data Protection Act states that in the absence of such data, the President of the UODO determines the basis for calculating the administrative monetary penalty based on estimates regarding the size of the entity, the specifics of the business it conducts, or generally available financial data concerning the entity.

Referring to the economic potential of the penalized entity is necessary because, among other things, a penalty that is disproportionately low in relation to the financial capabilities of the perpetrator of the violation (a penalty that is practically "unnoticeable" for that entity) will not be effective and deterrent for that entity; on the other hand, a penalty that is too burdensome (a penalty whose payment threatens the existence of the entity) will not be a proportional penalty.

In the opinion of the President of the UODO, the penalty imposed on the Company in this proceeding corresponds to the principles indicated in Article 83(1) of Regulation 2016/679. Its financial severity will discipline the Company to comply with data protection principles.

****Personal Data and Compliance with Obligations Arising from Administrative Decisions of the President of UODO****

In a disciplinary dimension, the penalty imposed on the Company will therefore be effective, as it will achieve its purpose. The penalty imposed by this decision is also, in the opinion of the President of UODO, proportional to the severity of the identified violation and to the Company's ability to bear it without significant detriment to its ongoing activities. This penalty will also serve a deterrent function; it will be a clear signal to the Company, which is obliged under the provisions of Regulation 2016/679 to comply with the orders issued by the supervisory authority pursuant to Article 58(2) of the aforementioned legal act, that neglecting this obligation constitutes a violation of significant weight and, as such, will be subject to financial sanctions.

Due to the Company's failure to provide the financial data requested by the President of UODO for the year 2022, in determining the amount of the administrative monetary penalty in this case, the President of UODO took into account, based on Article 101a(2) of the Personal Data Protection Act, the estimated size of the Company and the specificity, scope, and scale of its operations. The Company has been present in the Polish market for over seven years (the Company was registered in the National Court Register on (...), which indicates the stable nature of its operations. The predominant activity of the Company is (...). In the opinion of the President of UODO, the Company operates on a small scale, as evidenced by the net revenue from the sale of its own services amounting to (...) PLN and a net profit of (...) PLN – achieved by the Company in 2022. This data was obtained by the President of UODO from the Company's financial report covering the period from January 1, 2022, to December 31, 2022. However, the financial results achieved by the Company over the last three years indicate an upward trend, indicating the development of its activities. In 2020, the Company recorded net revenue of (...) PLN and a net profit of (...) PLN, while in 2021 these values amounted to (...) PLN

and (...) PLN, respectively (data included in the Company's financial reports for the years 2020-2021). The sale of goods and services by the Company is also subject to VAT, of which the Company is an active payer. The amount of revenue generated by the Company does not qualify it for exemption from the aforementioned public levy, which supports the recognition of the Company as a profitable and well-functioning entity, for which the monetary penalty imposed by the President of UODO (despite classifying the Company as an entity operating on a small scale) will not constitute an excessive burden.

Considering that the entity subject to sanction in this case operates on a small scale, the administrative monetary penalty imposed on it by this decision (in the amount constituting 0.03% of the maximum penalty that, according to Article 83(6) of Regulation 2016/679, the President of UODO could impose for the violation identified in this case) will, on one hand, be sufficiently burdensome and thus effective, but also manageable without jeopardizing the material basis of its existence and the activities it conducts.

Taking into account the provisions of Article 103 of the Personal Data Protection Act, the President of UODO imposed on the Company – using the average euro exchange rate from January 30, 2023 (where 1 EUR = 4.7160 PLN) – an administrative monetary penalty in the amount of 23,580 PLN (which is equivalent to 5,000 euros).

In light of the above, the President of UODO ruled as stated in the operative part of this decision.

****Instruction****

The decision is final. According to Article 53 § 1 of the Act of August 30, 2002, on Proceedings Before Administrative Courts (Journal of Laws of 2023, item 1634, consolidated text), hereinafter referred to as "p.p.s.a.", the party has the right to file a complaint to the Provincial Administrative Court in Warsaw within 30 days from the date of its delivery, through the President of the Personal Data Protection Office (address: ul. Stawki 2, 00-193 Warsaw). A fee must be paid for the complaint, in accordance with Article 231 in conjunction with Article 233 of the p.p.s.a. According to Article 74 of the Act of May 10, 2018, on the Protection of Personal Data (Journal of Laws of 2019, item 1781) (hereinafter "u.o.d.o."), the filing of a complaint by the party to the administrative court suspends the execution of the decision regarding the administrative monetary penalty.

In proceedings before the Provincial Administrative Court, the party has the right to apply for legal aid, which includes exemption from court fees and the appointment of a lawyer, legal advisor, tax advisor, or patent attorney. Legal aid may be granted upon the party's request submitted before the initiation of the proceedings or during the proceedings. The application is free of court fees.

According to Article 105(1) of the u.o.d.o., the administrative monetary penalty must be paid within 14 days from the expiration of the deadline for filing a complaint to the Provincial Administrative Court, or from the date of the court's decision becoming final, to the bank account of the Personal Data Protection Office at NBP branch in Warsaw no. 28 1010 1010 0028 8622 3100 0000.

Furthermore, according to Article 105(2) of the u.o.d.o., the President of the Personal Data Protection Office may, upon a justified request from the sanctioned entity, postpone the deadline for payment of the administrative monetary penalty or allow it to be paid in installments. In the case of postponing the deadline for payment of the administrative monetary penalty or allowing it to be paid in installments, the President of the Personal Data Protection Office will charge interest on the unpaid amount at an annual rate, applying a reduced late payment interest rate, announced based on Article 56d of the Act of August 29, 1997, Tax Ordinance (Journal of Laws of 2023, item 2383, consolidated text), from the day following the submission of the request.

****Print Article****

****Metadata****

Entity providing the information: Department of Penalties and Enforcement
Information created by: Jan Nowak

Date: 2023-12-13

Information entered by: Mathias Proch

2024-01-03 12:06:22

Last modified by:

Edyta Madziar

2024-01-30 13:49:39